

Contestant Number: _____

Time: _____

Rank: _____



BANKING AND FINANCE (145)

STATE – 2020

Multiple Choice:

Multiple Choice (30 @ 2 points each) _____ (60 points)

Production Problems:

Matching (10 @ 2 points each) _____ (20 points)

Rule of 72 (5 @ 2 points each) _____ (10 points)

Compound Interest (24 @ 1 point each) _____ (24 points)

TOTAL POINTS _____ **(114 points)**

Failure to adhere to any of the following rules will result in disqualification:

- 1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.**
- 2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.**
- 3. Electronic devices will be monitored according to ACT standards.**

No more than ten (10) minutes orientation

No more than 60 minutes testing time

No more than ten (10) minutes wrap-up

Property of Business Professionals of America.

May be reproduced only for use in the Business Professionals of America

Workplace Skills Assessment Program competition.

1. The five C's of credit include all of the following except
 - a. cooperation.
 - b. character.
 - c. capacity.
 - d. collateral.
2. The 9-digit number printed on a check that identifies the bank that holds the checking account and the Federal Reserve District the bank is located in is called the
 - a. transit/routing number.
 - b. account number.
 - c. MICR number.
 - d. NSF number.
3. A bond that is not registered by the issuing company is called a
 - a. bearer bond.
 - b. debenture.
 - c. callable bond.
 - d. mortgage bond.
4. Preferred stock
 - a. carries more risk than common stock.
 - b. carries less risk than common stock.
 - c. pays dividends after common stock.
 - d. is less expensive than common stock.
5. A person would choose Form 1040 in order to _____ since you can't use an EZ form to do so.
 - a. itemize deductions
 - b. report interest earned
 - c. claim exemptions
 - d. claim the standard deduction
6. A disadvantage of an interest-bearing account is that _____.
 - a. it earns no interest
 - b. the minimum monthly balance requirement may be high
 - c. a fee is charged for each check processed
 - d. it is only available for senior citizens
7. Having two signatures on the back of a check before your name constitutes a
 - a. blank endorsement
 - b. special endorsement or joint endorsement
 - c. restrictive endorsement
 - d. simple endorsement
8. An automated teller machine may be used to _____.
 - a. buy stock
 - b. reconcile an account
 - c. make a loan payment
 - d. purchase a cashier's check

9. A personal check that the bank certifies is genuine and there is enough funds to cover the check is a _____.
a. cashier's check
b. money order
c. certified check
d. EFT
10. Discount brokers _____.
a. are more expensive than full-service brokers
b. provide no advice
c. charge full brokerage rates
d. sell stocks but not bonds or other securities
11. Debit cards _____.
a. allow 30 days to pay for a purchase
b. allow immediate deductions from checking accounts
c. are the same as a credit card
d. charge a fee for every use
12. The easiest income tax form to use is Form _____.
a. 1040
b. 1040A
c. 1040EZ
d. W-2
13. Gross income less adjustments such as IRA contributions is called _____.
a. taxable income
b. adjusted gross income
c. disposable income
d. net income
14. Rent, car payment, and average utilities are classified as _____.
a. fixed expenses
b. variable expenses
c. surplus expenses
d. long-term liabilities
15. Which of the following is not an example of a long-term investing technique?
a. buy and hold
b. dollar-cost averaging
c. direct investment
d. short selling
16. When a bond sells for more than face value, it is called a _____.
a. discount
b. premium
c. convertible bond
d. revenue bond

17. A municipal bond backed by the power of the issuing government unit is called a(n)
- debenture
 - revenue bond
 - general obligation bond
 - agency bond
18. A type of mutual fund whose goal is to buy stocks that will increase in value over time is called a(n) _____.
- growth fund
 - income fund
 - balanced fund
 - bond fund
19. If liquidity is important, consider a _____.
- CD
 - bond
 - REIT
 - savings account
20. A retirement plan available to self-employed individuals is a(n) _____.
- IRS
 - Keogh
 - deferred annuity
 - public account
21. What legislation requires creditors to resolve billing errors within a specified period of time?
- Fair Credit Reporting Act
 - Equal Credit Opportunity Act
 - Fair Credit Billing Act
 - Fair Debt Collection Practices Act
22. Your FICO score is based on all but which of the following categories?
- payment history
 - amounts owed
 - marital status
 - amount of current debt
23. All of the following factors influence a person's credit score except _____.
- payment history
 - types of credit used
 - amount owed
 - marriage status
24. A loan wherein the borrower pledges property or assets to assure the creditor of payment is called a(n) _____.
- pro-ration
 - secured loan
 - collateral
 - capital

25. Willful failure to pay taxes is called _____.
a. tax reduction
b. tax avoidance
c. tax evasion
d. voluntary compliance
26. The date on which a certificate of deposit is due is called the _____.
a. redemption date
b. beginning date
c. maturity date
d. ending date
27. An arrangement through which a person transfers assets to a trustee, who then oversees and manages the assets on behalf of the beneficiaries is known as a(n)
a. trust.
b. risk planning.
c. investment.
d. savings plans.
28. A company that sells its stock openly in stock markets, where anyone can buy them, is a
a. sole proprietorship
b. public corporation
c. private corporation
d. partnership
29. Time deposits include all of the following except _____.
a. certificate of deposit
b. savings account
c. money market deposit account
d. checking account
30. The act of Congress that removed the 'float' time for checks was the
a. Sarbanes-Oxley Act of 2002.
b. Check 21 Act of 2003.
c. Expedited Fund Availability Act of 1987.
d. Homeland Security Act of 2002.

Matching (10 @ 2 points = 20 points)

Write the letter of the term on the line beside its correct definition.

- _____ 1. Free of tax considerations
- _____ 2. Investment instruments such as stocks and bonds
- _____ 3. Where individuals “pool” investment money
- _____ 4. Ownership interest in a company
- _____ 5. Can easily be converted into cash
- _____ 6. Spreading investment money among different instruments
- _____ 7. Legal document describing an investment offered for sale
- _____ 8. Amount gained or lost from an investment
- _____ 9. An increase in the basic value of an investment
- _____ 10. Certificate representing a loan

- A. Diversification
- B. Dividend
- C. Liquid
- D. Stock
- E. Prospectus
- F. The return
- G. Securities
- H. Tax-exempt
- I. Bond
- J. Appreciation
- K. Mutual Fund
- L. No-fund

Rule of 72 (5 @ 2 points = 10 points)

Using the Rule of 72, calculate how long each of the following investments will take to double in value. Round your answers to the nearest tenth of a year.

INVESTMENT	RATE OF RETURN	YEARS TO DOUBLE
CD	3%	
US Treasury Note	2.66%	
Common Stock	10%	
Money Market	1.70%	
Preferred Stock	6%	

Compound Interest (24 points)

Rebecca plans to deposit \$100 a month into her savings account. Her bank compounds monthly. The current rate for a regular savings account is $5\frac{1}{2}\%$. Using the chart below, compute the ending balance in her account after one year. Make sure to fill in every box. Round balances to the nearest cent.

Month	Beginning Balance	Deposit	Interest	Ending Balance
1	\$0	\$100		
2		\$100		
3		\$100		
4		\$100		
5		\$100		
6		\$100		
7		\$100		
8		\$100		
9		\$100		
10		\$100		
11		\$100		
12		\$100		